ner companies. Second, ABG Shipyard invested in $43.5 million (Rs 326 crore) worth of securities of ABG Singapore, its overseas arm. According to EY's forensic audit, the money may have been siphoned out of the system. Third, ABG Shipyard transferred Rs 83 crore to related firms. But the assets were not shown as part of the company's asset pool. ABG Shipyard paid accommodation deposits of Rs 83 crore to entities before 2007-08. One of them is Somerset Estate Pvt Ltd, which was paid Rs 14 crore. Agarwal stays in the Somerset property in Mumbai.

'Properties were purchased out of security deposits provided by ABG Shipyard in 2007-08 and 2008-09,' according to the EY report. ABG Shipyard had transferred Rs 15 crore and Rs 16 crore to ABG Energy on March 15 and 16, 2016, respectively. On the same days, ABG International, ABG Shipyard's corporate guarantor, received Rs 31 crore as refund of accommodation deposits. This 'indicates there may not be actual refund of accommodation deposits amounting to Rs 31 crore, and only potential circular transactions', the report states.

Finally, the SBI alleges that ABG Shipyard conducted a breach of the restructuring agreement. Under restructuring, lenders set up a trust and retention account (TRA). The money coming into the company during the restructuring period is held in the TRA so that lenders can monitor its use. The SBI says more than 50 per cent of ABG Shipyard's receipts had been outside this arrangement. ABG International is the holding company over which directors/ relatives are able to exercise control or significant influence. Neither the EY report nor the FIR gives details of the entire Rs 22,842 crore siphoned off, but experts say further investigations are likely to unearth more such money trails. These 'illegal acts committed by the accused constitute cognisable offences under the Indian Penal Code, and the same are committed by the accused with specific intention to cause loss to banks who had sanctioned credit facilities and to gain unlawfully at the cost of the banks', the EY report concludes.

As efforts to revive the company through the CDR scheme failed, the firm filed for liquidation under the Insolvency & Bankruptcy Code (IBC) in 2019. The liquidation process is on. However, lenders hope to get very little from the proceedings. The firm has a few land parcels, bungalows, staff quarters, half-finished vessels and plant and machinery, but these are likely to fetch only a fraction of the original claims by the lenders. The value of ABG Shipyard's land assets is reportedly close to Rs 500 crore.

The EY report came as a shot in the arm for the SBI. However, the road ahead was not easy. The SBI's fraud identification committee took five more months to declare the ABG Shipyard account as a fraud on June 6, 2019. The bank approached the CBI with a complaint on November 8, 2019, but the CBI sought some clarifications on March 12, 2020, to corroborate the allegation of fraud. The agency had stated that no internal investigation was conducted before filing the complaint. According to the CBI, the complaint did not provide the timing of the fraud, specific instances of siphoning of funds or the modus operandi in defrauding the banks. Also, there was no consent from the other banks in the consortium for filing the complaint. The fact is that except for consent from other banks, all conditions were fulfilled by the SBI before filing the complaint.

> "INDIAN BANKS SHOULD DEVELOP MECHANISMS TO TRACK THEIR BORROWERS AND USE OF FUNDS. DEFAULTS SHOULD BE IMMEDIATELY REPORTED TO THE REGULATOR"
>
> **ASHVIN PAREKH**
> Banking consultant

The consortium, in meetings of its shareholders between June 4 and August 13, 2020, gave consent for filing the complaint. There seem to be several cardinal failures in this case, the most important being that the fraud was not detected on time. According to banking consultant Ashvin Parekh, "Banks should develop internal mechanisms to keep track as to who the funds are paid to and what the borrower is doing with them." The bank's relationship manager should know when to alert the bank to stop giving fresh funds in case of doubts about their use. "All defaults should be immediately brought to the regulator's attention and recovery actions must be initiated," Parekh adds.

A blame game started soon after the FIR was registered. Congress general secretary Randeep Surjewala claimed on February 13 that his party had warned the Union government in 2018 that ABG Shipyard was a scam. He asked why the government had taken so long to act. Union finance minister Nirmala Sitharaman, however, maintained that the firm's account had turned an NPA in 2013 during the Congress-led UPA (United Progressive Alliance) regime.

ABG Shipyard is only the latest scam to rock India's banking sector. While the case against Agarwal and his associates will drag on, what will be crucial is how the government plugs loopholes in the financial system to prevent misappropriation of funds. Without robust checks and balances, frauds will continue to happen and taxpayers' money will remain at risk. ■